FEDERAL POLYTECHNIC MUBI, DEPARTMENT OF ACCOUNTANCY

COURSE TITLE: ACCOUNTING FOR HOSPITALITY 1

COURSE CODE: HMT 126

DEPARTMENT OF HOSPITALITY MANAGEMENT TECHNOLOGY

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NATURE AND INTRODUCTION TO ACCOUNTING

Irrespective of the manner in which business organizations have evolved, one factor has remained constant and that is the need for book-keeping (that is, the recording of business transactions in an orderly manner) in order to, among others, **measures** the value of resources employed and the profitability (or otherwise) of the business venture. Various forms of recording existed, ranging from situations in which virtually no records were kept to **single-entry systems**, **double-entry and computerized system**. The most elaborate system of book-keeping which shows the complete effect of every transaction is the 'double-entry system'. This system was developed by Italian merchants who had begun to use it as early as the first half of the 14th century while business in the rest of Europe was recorded using 'single-entry system'. More than in any other part of the world, Europe being the most developed continent, witnessed a boom in industrial and business activities and Italian merchants, at that time, were the most widely-travelled businessmen; their business activities taking them across Europe and beyond.

The accounts of **steward's of commuune of Genoa**, a city in Italy, for the year 1340 are reputed to be the earliest set of double-entry records. Of course, as they traversed Europe in their business activities, Italian merchants compared notes with their counterparts in other countries who accepted the superiority of the 'double-entry system' – which, at that time, was aptly dubbed the ***Italian method*** – to the system they had been using. By this means the 'double-entry system' gradually spread to the rest of Europe and the world.

The spread of the system was accelerated with the publication, in 1494, of the first known text on 'double-entry system' of book-keeping, by an Italian monk, **Luca Pacioli**, who was an erudite scholar of his time. Of course, the title of the book is in Italian language but, translated into English. It means **"Everything about Arithmetic, Geometry and Proportion."** It has to be stated that the book was not all about double-entry book-keeping, as only one chapter dealt with double-entry book-keeping. The chapter was, however, so popular among students that ten years later, in 1504, Luca published it as a separate book whose title, translated into English, was **The Perfect SCHOOL OF MERCHANTS**

The influence of Italy on the accounting profession has dwindled in modern times, almost to the point of insignificance. Much of the current thinking in the profession is mainly dictated by two countries — the United Kingdom (UK) and the United States of America (USA).

DEFINITION OF ACCOUNTING

Accounting is the systematic process of recording, summarizing, analyzing, and reporting financial transactions and information of an organization, enabling stakeholders to make informed decisions about its financial health and performance.

WHAT IS BOOKKEEPING

Bookkeeping is the process of systematically recording, classifying, and organizing financial transactions and information related to a business or organization. It is a fundamental aspect of accounting and serves as the foundation for the preparation of financial statements and the overall management of a company's financial data

IMPORTANCE OF ACCOUNTING TO BUSINESSES

Accounting plays a crucial role in various aspects of business, finance, and the economy. Its importance can be summarized in the following key points:

1. Financial Record Keeping: Accounting helps in maintaining accurate and systematic records of financial transactions, making it easier to track income, expenses, assets, and liabilities.
2. Financial Decision-Making: It provides essential financial information to businesses and individuals, aiding in making informed decisions related to investments, budgets, and resource allocation.
3. Compliance with Regulations: Accounting ensures that organizations adhere to legal and regulatory requirements, including tax laws, financial reporting standards, and industry-specific regulations.
4. Transparency and Accountability: Proper accounting practices promote transparency and accountability, allowing stakeholders to assess the financial health and integrity of an organization.
5. Performance Evaluation: Financial statements generated through accounting help in evaluating a company's performance, profitability, and overall financial health.
6. Resource Allocation: Effective allocation of resources is possible through budgeting, which is based on accounting information. This ensures that resources are utilized efficiently and cost-effectively.
7. Credibility and Trust: Accurate accounting builds credibility and trust with

stakeholders, such as shareholders, creditors, suppliers, and customers.

8. Risk Management: Accounting aids in identifying financial risks and developing strategies to mitigate them, contributing to the long-term sustainability of an organization.
9. Performance Measurement: Key performance indicators (KPIs) derived from financial data help organizations measure their success and progress toward their goals.

USERS OF ACCOUNTING INFORMATION

Financial information is a crucial aspect of a business, and it serves a wide range of users who rely on this data for various purposes. The primary users of financial information include:

- Management: Business owners, executives, and managers use financial information to make informed decisions about the company's operations, performance, and future strategies. They may analyze financial statements, budget reports, and other financial data to assess profitability, manage costs, and plan for growth.
- Investors and Shareholders: Individuals who have invested in the company, whether through purchasing shares of stock or providing loans, rely on financial information to assess the company's financial health and performance. They use this information to make investment decisions and evaluate the potential for returns.
- Creditors and Lenders: Banks, financial institutions, and other creditors use financial statements and credit reports to evaluate a company's creditworthiness before extending loans or lines of credit. The financial information helps them assess the risk associated with lending money to the business.
- Regulators and Government Authorities: Government agencies and regulatory bodies require businesses to provide financial information for tax purposes and to ensure compliance with laws and regulations. They use this data to assess tax liabilities, enforce financial reporting standards, and monitor industry-specific regulations.
- Employees: Employees may be interested in the financial stability of their employer. They use financial information to assess job security, evaluate compensation packages, and understand the company's ability to invest in employee benefits, salaries, and growth opportunities.
- Customers: Customers may want to assess the financial stability of the companies they do business with. They may examine financial data to

gauge the company's ability to deliver products or services reliably and to fulfill warranties or guarantees.

- Suppliers: Suppliers may use financial information to assess the creditworthiness of their customers. This can impact credit terms, such as the length of time to pay invoices or the extension of trade credit.
- Competitors: Competing businesses may analyze the financial statements and reports of their rivals to gain insights into their performance, strategies, and market positioning. This information can help competitors make informed strategic decisions.
- Analysts and Financial Advisors: Financial analysts, consultants, and advisors use financial information to provide recommendations to their clients, such as investors and businesses. They conduct financial analysis to evaluate investment opportunities, assess mergers and acquisitions, and offer financial planning guidance.
- Auditors and Accountants: Auditors and accountants play a critical role in reviewing and verifying financial information for accuracy and compliance. They ensure that financial statements are prepared in accordance with accounting standards and laws.
- Stakeholders and the Public: Other stakeholders, such as nonprofit organizations, community members, and the general public, may have an interest in the financial information of businesses, especially if they are affected by the company's operations or policies

ACCOUNTING PRINCIPLES, CONCEPTS AND CONVENTIONS

Principles in accounting refer to the fundamental guidelines and concepts that govern the practice of accounting. These principles are established to ensure consistency, accuracy, and reliability in financial reporting. They provide a framework for recording, measuring, and presenting financial information. The principles of accounting serve as a foundation for the development of accounting standards and practices

ACCOUNTING CONCEPT AND CONVENTION

Accounting concepts and conventions are fundamental principles and guidelines that form the basis for accounting practices and the preparation of financial statements. They provide a framework for how financial transactions should be recorded, reported, and interpreted. Here are some of the key accounting concepts and conventions:

Accounting Concepts:

1. Entity Concept: This concept asserts that a business is a separate entity from its owners, and its financial transactions should be recorded and reported independently.
2. Historical Cost: Assets are typically recorded at their original cost, which may not reflect their current market values.
3. Going Concern Concept: It assumes that a business will continue to operate indefinitely, allowing financial statements to be prepared with the assumption that the business will not be liquidated in the near future.
4. Money Measurement Concept: Only transactions that can be expressed in monetary terms should be recorded in the financial statements. Non-monetary events are typically not recorded.
5. Accrual Concept: Under this concept, revenues and expenses are recognized when they are earned or incurred, regardless of when the cash is received or paid. This concept is crucial for matching revenues and expenses.
6. Matching Concept: Revenues should be matched with the expenses incurred to generate them, ensuring that the income statement accurately reflects the results of operations.
7. Dual Aspect (Double Entry) Concept: Every transaction has two sides – a debit and a credit – and these must be recorded to maintain the accounting equation (Assets = Liabilities + Equity) in balance.
8. Time Period (Accounting Period) Convention: It divides the financial life of a company into distinct and manageable periods (e.g., fiscal year, quarter) for reporting and analysis.

Accounting Conventions:

1. Consistency Convention: This convention states that once an accounting method is chosen, it should be consistently applied over time, unless a significant reason for change exists.
2. Full Disclosure Convention: It requires that all significant information that could affect the decision-making of users of financial statements should be disclosed in the notes to the financial statements.
3. Materiality Convention: This convention suggests that immaterial items need not be strictly adhered to in the financial statements, allowing for practicality in reporting.
4. Objectivity (Verifiability) Convention: Financial transactions and events

should be supported by objective evidence, making them verifiable by independent parties.

5. Conservatism (Prudence) Concept: This concept advises accountants to be cautious when recognizing revenues and to be more liberal when recognizing expenses. It's based on the idea of not overstating assets or income.
6. Fairness: This principle requires that accounting reports should be prepared not to favour any group or specific user of financial statement. It is an extension of the principle of objectivity.

These accounting concepts and conventions serve as the foundation for the preparation of financial statements and help ensure that financial information is presented accurately, consistently, and fairly, allowing stakeholders to make informed decisions.

CAPITAL AND REVENUE EXPENDITURES

Capital Expenditure refers to the funds spent by a business to acquire, upgrade, or extend its long-term assets, such as property, plant, equipment, and intangible assets. Capital expenditures are investments made to improve or expand a company's productive capacity and are expected to provide benefits over multiple accounting periods. They are typically recorded as assets on the balance sheet and are subject to depreciation or amortization over their useful life. Common examples of capital expenditures include purchasing machinery, buying a new building, or acquiring intellectual property rights.

Revenue Expenditure on the other hand, refers to the costs incurred by a business to maintain its ongoing operations, generate revenue, and meet day-to-day expenses. These expenditures are considered regular business expenses and are expected to provide benefits in the current accounting period. Unlike capital expenditures, revenue expenditures are fully expensed in the period in which they are incurred and are recorded on the income statement as operating expenses. Common examples of revenue expenditures include utility bills, salaries, advertising expenses, and maintenance costs.

KEY DIFFERENCES BETWEEN CAPITAL EXAMPLE AND REVENUE EXPENDITURE

1. Purpose:

Capital Expenditure: CapEx is incurred to acquire or improve long-term assets, which are expected to provide benefits over an extended period.

Revenue Expenditure: OpEx is incurred to cover day-to-day operational expenses and maintain the ongoing business operations.

2. Accounting Treatment:

Capital Expenditure: CapEx is capitalized and recorded as an asset on the balance sheet. It is gradually expensed through depreciation or amortization over its useful life.

Revenue Expenditure: OpEx is fully expensed in the period in which it is incurred and is recorded on the income statement as an operating expense.

3. Duration of Benefits:

Capital Expenditure: CapEx provides benefits over multiple accounting periods and contributes to the long-term growth and productivity of the business.

Revenue Expenditure: OpEx provides immediate benefits in the current period but does not contribute to long-term asset value.

Examples:

Capital Expenditure: Examples include the purchase of a new factory, construction of a new office building, acquisition of a patent, or the installation of expensive machinery.

Revenue Expenditure: Examples include rent, utilities, employee salaries, office supplies, advertising expenses, and routine maintenance costs.

4. Impact on Financial Statements:

Capital Expenditure: CapEx impacts both the balance sheet (as an asset) and the income statement (through depreciation or amortization).

Revenue Expenditure: OpEx affects only the income statement as an immediate expense, reducing the net income.

EXAMPLES OF CAPITAL AND REVENUE EXPENDITURE IN ANY ORGANIZATION OR BUSINESS

Category	Capital Expenditure Examples	Revenue Expenditure Examples
Tangible Assets	- Purchase of a new building	- Rent for office space
	- Expansion of a production plant	- Lease payments for equipment
	- Installation of machinery	- Repair of office furniture
	- Purchase of vehicles	- Routine maintenance costs
Intangible Assets	- Acquisition of a patent	- Legal fees for a lawsuit
	- Development of a software	- Licensing fees for software
Upgrades & Improvements	- Renovation of office space	- Repair of a broken window
	- Replacing a roof	- Replacement of light bulbs
Business Expansion	- Purchase of another company	- Advertising and marketing

Category	Capital Expenditure Examples	Revenue Expenditure Examples
	- Construction of a new store	- Promotional expenses
Software Development	- Developing proprietary software	- Subscription fees for software
Research and Development	- Costs related to creating a new product	- Laboratory supplies

PRINCIPLES AND PRACTICE OF DOUBLE ENTRY

The principle of double entry states that for every debit entry, there must be a corresponding credit entry and vice-versa. It is the foundation for all accounting and book-keeping practice in any and all organization.

This principle operate on the theory that every financial transaction should have two entry to explain it. This two entries should be for the receiver (receiving account) and the giver (giving account).

RULES FOR DOUBLE ENTRY

Double entry is relatively easy to understand if the following **four** rules are kept in mind:

1. Double entry means that every transaction affects two things and should be entered twice: once on the **Debit** side and once on the **Credit** side.
2. The order in which the items are entered does not matter, it is easier to deal with any cash transaction first using **deposit** and **cheques**
3. A debit entry is always either an asset or an expense. A credit entry can be a liability, capital or income.
4. To increase or decrease assets, liabilities or capital, the double entry rules are as shown in Exhibit (3-1) and (3-2).

Rules of Debit and Credit

Account	To record	Entry in the account
Assets	↑ Increase ↓ Decrease	Debit Credit
Liabilities	↑ Increase ↓ Decrease	Credit Debit
Capital	↑ Increase ↓ Decrease	Credit Debit

ILLUSTRATIONS FOR THE PRINCIPLE OF DOUBLE ENTRY

Jan 1, 2023: Mr. Ojo started business with ₦40,000 cash

Jan 2, 2023: Paid ₦450 cash for rent

Jan 3, 2023: Received refund of insurance ₦300 cash

Jan 4, 2023: The owner of the business put in a further ₦500 into the Bank

Jan 5, 2023: Bought motor vehicle ₦60 paying by cheque

Jan 6, 2023: Cash sales ₦1,000

Jan 7, 2023: Paid commission by cheque ₦500.

Jan 9, 2023: Cash purchases ₦250

Jan 12, 2023: Received cheque from Rhoda ₦1,700

SUBSIDIARY BOOKS OF ACCOUNT AND SOURCE DOCUMENTS

SOURCE DOCUMENTS

Source documents are the foundational records that initiate and support financial transactions in accounting. They are the primary evidence of a business transaction and provide a clear and reliable record of the transaction's details.

Significance of Source Documents:

i. **Evidence of Transactions:** Source documents serve as concrete proof that a transaction has occurred. They document the date, nature, and details of each financial event, making it easier to verify and track activities.

ii. **Accuracy and Reliability**: These documents enhance the accuracy and reliability of accounting records. They provide a basis for cross-referencing and reconciling financial data.

iii. **Audit Trail**: Source documents create an audit trail that can be followed to validate financial transactions. This is crucial for internal and external audits.

iv. **Legal and Regulatory Compliance**: Many financial transactions need to comply with legal and regulatory requirements. Source documents ensure that all necessary information is available to meet these obligations.

v. **Management Information:** Source documents provide valuable data for management decision-making. They offer insights into trends, patterns, and performance, aiding in strategic planning and control.

Types of Source Documents

i. **Invoices**: Invoices are issued by suppliers to customers, indicating the sale of goods or services. They include details like the product or service description, quantity, price, terms of payment, and payment due date.

ii. **Receipts:** Receipts are issued by a business to customers as proof of payment. They typically include details of the transaction, such as the date, amount paid, and the payment method.

iii. **Purchase Orders (POs):** Purchase orders are issued by a buyer to a seller to formally request goods or services. They specify the items, quantities, prices, and delivery terms.

iv. **Sales Orders:** Sales orders are generated by the seller in response to a purchase order. They confirm the sale and specify the terms of delivery, payment, and shipping.

v. **Credit Notes**: A credit note, also known as a credit memo or credit memorandum, is a financial document issued by a seller or supplier to a buyer or customer. It is used to acknowledge that a credit is owed to the buyer due to a variety of reasons, including returns of goods, overpayments, price adjustments, or resolution of billing discrepancies

vi. **Debit Notes**: A debit note is a financial document issued by a buyer or customer to a seller or supplier. It is used to request or acknowledge that additional payment is owed to the seller due to various reasons, such as the receipt of damaged or incomplete goods, pricing adjustments, or any other discrepancies in the original invoice. In essence, a debit note functions as a request to debit or increase the amount payable by the buyer to the seller.

vii. **Bank Statements**: Bank statements show all financial transactions related to a bank account, including deposits, withdrawals, checks issued, and service charges.

viii. **Payroll Records**: Payroll records include pay stubs, timecards, and other documents detailing employee compensation. They ensure employees are paid accurately and on time.

ix. **Contracts and Agreements:** Legal agreements and contracts outline the terms and conditions of specific transactions or relationships, serving as a basis for financial entries.

SUBSIDIARY BOOKS

Subsidiary books of accounts, often referred to as "subsidiary ledgers" or "subsidiary records," are a vital component of a company's accounting system. They are designed to facilitate the recording of specific types of transactions in a more detailed and organized manner. Subsidiary books help streamline the accounting process, improve accuracy, and simplify the preparation of financial statements.

Types of Subsidiary Books

1. Cash Book: The cash book is a fundamental subsidiary book used to record all cash transactions, including cash receipts and cash payments. It is often divided into two sections: the cash receipts side and the cash payments side. This book helps in monitoring cash flow, ensuring that there is adequate cash on hand, and detecting any irregularities in cash handling
2. Sales Day Book: The sales book, also known as the sales daybook, is used to record all credit sales made by a business. It provides a detailed account of sales transactions, including the date, customer's name, invoice number, and the amount of the sale. This book aids in tracking sales revenue, analyzing customer accounts, and managing credit transactions.

3. Purchases Day Book: The purchases book, also known as the purchases daybook, is used to record all credit purchases made by a business. It contains information about the supplier, date of purchase, invoice number, and the value of the purchases. This book simplifies the process of tracking expenses, managing accounts payable, and ensuring proper procurement procedures.
4. Sales Return Book and Purchases Return Book: These subsidiary books are used to record returns of goods by customers (sales return book) and returns of goods to suppliers (purchases return book). They help in tracking the reasons for returns, managing inventory adjustments, and ensuring accurate accounting of returned goods.
5. Journal proper or General journal: This is another book of prime entry in which are recorded the initial entries in chronological order. It can equally be define as the daily records of transactions. It is used for opening entries, corrections of errors, etc. This will be treated later in the book.

SIGNIFICANCE OF SUBSIDIARY BOOKS

i. **Detailed Recording**: Subsidiary books provide a more detailed record of specific types of transactions, which is essential for accurate financial reporting.

ii. **Efficiency:** They streamline the accounting process by segregating different types of transactions into specialized books, making it easier to record and retrieve information.

iii. **Error Detection:** Subsidiary books help in identifying errors and discrepancies in transactions, ensuring that the accounts remain accurate.

iv. **Improved Financial Analysis:** By maintaining detailed records, businesses can analyze their financial performance more effectively and make informed decisions.

v. **Compliance:** They aid in compliance with taxation and regulatory requirements, as they provide a clear trail of transactions.

vi. **Audit Trail:** Subsidiary books create a reliable audit trail, facilitating internal and external audits.

THE PRINCIPAL BOOK OF ACCOUNT: LEDGER

A ledger is a fundamental component of double-entry accounting and plays a crucial role in organizing, summarizing, and maintaining a detailed record of a company's financial transactions. It is a book or an electronic system that keeps track of all financial transactions, both revenue and expenses, in a systematic and categorized manner. Ledgers help businesses and accountants maintain accurate financial records and produce financial statements.

TYPES OF LEDGERS

Ledgers can be classified into the following:

1. Personal ledger: These are the legers for credits and debtors accounts. Eg.

Purchases and sales legers.

2. General ledgers: These are ledgers for real and nominal accounts eg. Expenses account, income account, sales accounts, purchase accounts and assets accounts.
3. Private Ledgers: Private ledgers are internal accounting records maintained by private companies and organizations for their own use. They are not intended for public disclosure, making them a confidential tool for managing financial information.
4. Purchase or Creditors Ledgers: The Purchase Ledger, also known as the Creditors Ledger, is a specialized accounting ledger that records transactions related to purchases and outstanding payments to suppliers and creditors. It includes details of supplier invoices, credit notes, and payments made to suppliers. The Purchase Ledger helps businesses keep track of their accounts payable, manage supplier relationships, and ensure timely payment of bills. It is crucial for maintaining good relationships with suppliers and managing cash flow effectively.
5. Sales or Debtors Ledgers: The Sales Ledger, also known as the Debtors Ledger, is a specialized ledger that records all sales transactions made on credit, tracking the amounts owed by customers. It includes details of customer invoices, credit notes, and payments received from customers. The Sales Ledger assists businesses in managing accounts receivable, tracking customer balances, and ensuring timely collection of outstanding

payments.

6. Nominal Ledger: The nominal ledger, also known as the general ledger, serves as the core accounting ledger in the double-entry accounting system. It records all financial transactions, categorizing them into nominal accounts, which include revenue and expenses. The nominal ledger helps businesses track and categorize income and expenses for financial reporting and analysis.

ILLUSTRATION

Modern Electric Incorporation is a retail company that sells electronics and appliances. They use a double-entry accounting system and maintain a general ledger to record their financial transactions for the month of March 2023. Below are the transactions for each day of the month. Prepare the general ledger accounts, ensuring you provide all necessary details for each transaction.

March 1: The Company received ₦15,000 in capital from its shareholders in exchange for equity.

March 2: Bought motor van by cheque ₦300

March 3: Withdrew cash ₦500 from the bank for business use

March 5: Received commission in cash ₦3,000

March 6: Paid rent in cash ₦12

March 8: Paid electricity bill ₦10 by cash

March 9: Cash sales ₦100

March 11: Cash purchases ₦150

March 15: Paid wages by cash ₦200

March 16: Sold goods on credit ₦1,000 to Ayo

March 17: Bought goods ₦150 on credit from Victor enterprise

March 19: Paid sundry expenses by cash ₦15

March 20: Took cash as drawings ₦50

March 21: Sold Gas cooker and received cheque ₦200

March 25: Paid motor expenses by cheque ₦15

March 27: We returned goods to victor ₦105

March 28: Goods returned to us by Ayo ₦25

March 29: Loan from Eunice by cheque ₦1,000

March 30: Cash sales ₦107

March 31: Took cash ₦10 from bank for business use

BALANCING OF LEDGER ACCOUNTS AND TRIAL BALANCE

The account must be balanced off before extracting the trial balance at regular intervals during the financial year. It is necessary to balance of the account at the end of each financial period in order to ascertain the financial stand or position of the company or organization.

PROCEDURE FOR BALANCING OF LEDGER ACCOUNTS

i. Add all items on the debit side (Dr)
ii. Add all the items on the credit side (Cr)
iii. Compare both sides
iv. Subtract the side with the higher amount from the side with the lower amount
v. The difference of both sides should be added to the lower side to balance off the account

TRIAL BALANCE

A trial balance is a fundamental accounting report that provides a summary of the balances of all the general ledger accounts in a company's accounting system at a specific point in time. Its primary purpose is to ensure the accuracy of a company's financial records and to identify any potential errors or discrepancies in the double-entry accounting system.

USES OF TRIAL BALANCE

1. **Error Detection**: One of the primary purposes of a trial balance is to identify errors or discrepancies in the accounting records. If the debits and credits do not balance, it suggests that there may be errors in the ledger accounts, such as transposition errors, posting mistakes, or omissions. The trial balance helps accountants pinpoint and rectify these errors before preparing financial statements.
2. **Preparation of Financial Statements:** The trial balance serves as a foundation for preparing financial statements, such as the income statement and balance sheet. It provides the starting point for summarizing financial data in a structured format.

RULES OF TRIAL BALANCE

1. All assets must be put on the debit side
2. All liabilities must be on the credit side
3. All income or gain must be recorded on the credit side
4. All expenses must be recorded on the debit side

ILLUSTRATION

Emmanuel sets up a trading business, buying and selling goods. Record the following transactions which, occurred during his first month of trading (July 2013) in the relevant ledger accounts.

July 1: He introduced ₦500,000 into the business by paying money into a business bank account.

July 2: The business bought a motor van for ₦60,000. Payment was by cheque.

July 3: He bought some inventory for ₦1200,000, paying by cheque.

July 5: The inventory purchased was sold for ₦150,000 in cash.

July 7: Bought inventory from Ann T. for ₦350,000 on credit.

July 8: Purchased inventory for ₦120,000 on credit from James A.

July 9: He sold inventory for ₦80,000 were on credit to Akin G.

July 10: Akin G. returned inventory ₦5,000

July 11: Returned inventory to Ann T. ₦15,000

July 12: A payment of ₦40,000 was received from Akin G.

July 13: He withdrew ₦10,000 from the bank account for his personal use.

July 15: He paid ₦2,000 for diesel for the motor van using a business cheque

July 16: The business paid ₦15,000 by cheque for the premium on an insurance policy.

July 17: The business received a bank loan of ₦100,000, repayable in two years.

July 18: Paid of ₦325,000 was made to Ann T. by cash in full settlement.

July 20: Sold inventory ₦450,000 to Peter P. on credit

July 21: Bought inventory with selling price of ₦550,000, obtained trade discount of 2% and paid by cash.

July 22: Sold inventory by cash for ₦350,000.

July 24: Purchased furniture on credit from Mathew furniture ltd for ₦100,000 for the business.

You are required to:

a) Post all transactions to ledger accounts.

b) Close off each account and extract a trial balance.

ERRORS AND CORRECTION OF ERRORS IN TRIAL BALANCE

ERRORS

Due to the imperfection of human beings, it is inevitable that errors in recording transactions would exist in the accounting records. Errors cannot be eliminated completely; they can only be reduced to the barest minimum. To reduce errors in accounting records, what should be done, among other measures, is to engage the services of well trained personnel to maintain accounting records.

TYPES OF ERRORS

Errors are of two kinds:

(a) Those which would not prevent the Trial Balance and Balance Sheet from balancing; and

(b) Those which would cause the Trial Balance and Balance Sheet not to balance.

ERRORS NOT AFFECTING TRIAL BALANCE

Despite the existence of these errors, the trial balance would still agree. They consist of the following:

ERROR OF ORIGINAL ENTRY

This is an error in which the value (amount) of a transaction is recorded wrongly at the beginning of the recording process that is, when the source document is being raised or when the source document is being posted to the appropriate subsidiary book. The wrong amount is then passed through the double- entry system. For example, a sum of ₦25,500 received from a customer may be written as ₦25,000 which is subsequently debited to the cash book and credited to the customer's account.

ERROR OF OMISSION

This is an error involving failure to post a transaction into the accounts, that is, no debit entry, and no credit entry. This may be due to the loss of the source document. For example, a purchase invoice may be misplaced as a result of which it was not recorded in the purchases day book causing the transaction not to be debited to purchases account nor credited to the supplier's account.

ERROR OF PRINCIPLE: This is an error whereby a transaction is posted to the wrong class of accounts. For example, the cost of an office air- conditioner may be wrongly debited to office expenses account [an account belonging to the class of **nominal** accounts] instead of office equipment account [an account belonging to the class of **real** accounts].

Error of Commission: This is an error involving the posting of a transaction to the correct class of accounts but the wrong account within that class. For example, payment to a creditor named Jane may be wrongly debited to the account of another creditor named Janet. Both names are almost identical in spelling and both accounts, of course, belong to the class of personal accounts.

ERROR OF COMP;ETE REVERSAL EMTRY: This is an error involving the complete reversal of the normal double-entry for a transaction. For example, the payment by cheque for stationery may be wrongly debited to bank account and credited to stationery account.

COMPENSATING ERROR: This is a situation in which errors cancel each other out. For example, the undercast of the debit side of cash book by, say ₦20,000 would be cancelled out if, later, the total taken from sales day book and credited to sales account is understated by₦20,000.

ERRORS AFFECTING TRIAL BALANCE

These are errors the existence of which would cause the Trial balance not to agree. They consist of the following:

CASTING ERROR: This is an error involving wrong addition of figures.

ERROR OF PARTIAL REVERSAL OF ENTRY: This is an error involving reversal of one leg of the double- entry for a transaction. For example, the double-entry for the payment of rent by cash is: debit rent account, credit cash account. If rent account is correctly debited but cash account is also debited, this amounts to an Error of partial reversal of entry – the reversal of the credit entry. This error always results in the two legs of a double-entry appearing on the same side. In the example stated, the double-entry appears on debit side. This is the reason why, in the entry to correct this error, the amount involved would be doubled.

OMISSION/MISSTATEMENT OF ACCOUNT BALANCE: This is the omission or misstatement of account(s) balances while drawing up a Trial balance.

POSTING ONLY ONE LEG OF A TRANSACTION: This is an error whereby one aspect of the double-entry for a transaction is posted without posting the corresponding opposite entry.

SUSPENSE ACCOUNT

When a Trial balance does not balance and there is no time or it is inconvenient to immediately locate and correct the errors because the final accounts are urgently required, the Trial balance can be made to balance by inserting the balancing figure and describing it as suspense account.

If the Suspense account balance is a debit, it shall be classified as a current asset in the balance sheet while it shall be classified as a current liability if it is a credit balance. Suspense account must however not be carried in the books for an unreasonable length of time. As soon as possible, it should be eliminated. The only way Suspense account can be eliminated is to locate and correct the errors that necessitated its creation in the first place.

ENTRIES REQUIRED TO CORRECT ERRORS

With respect to the first type of errors [i.e. those which do not affect Trial balance], they do not necessitate the creation of Suspense account because they do not cause the Trial balance not to balance. For this reason, the double- entries needed to correct these errors are not passed through the Suspense account.

On the other hand, the second types of errors cause the Trial balance not to agree and therefore necessitate the creation of Suspense account. Therefore, double-entries made to correct such errors are passed through Suspense account so that after all such errors have been corrected, the Suspense account balance disappears.

Example

The Trial balance of a firm showed a difference of ₦11,100 and this has been carried to the credit side of a Suspense account. Further information revealed the following errors.

(a) Sales day book was overcast by ₦2,500.

(b) An invoice for ₦2,750 received from a supplier was correctly entered in the purchases day book but was posted to the debit side of the supplier's account.

(c) A debtor who owed a sum of ₦1,200 died without leaving anything behind. This amount was written off his account as a bad debt but no other entry was made in the books.

(d) A machine was bought for ₦7,500 and the payment was made by cheque. This fact was recorded only in the machinery account.

(e) A payment of ₦1,300 for wages was entered correctly in the cash book but was recorded as ₦3,100 in the wages account.

You are required to show the:

(a) Journal entries necessary to correct these errors.

(b) Suspense account duly balanced

THE CASH BOOK

Cash book is a book for recording detailed particulars of all money received and paid. All cash transactions and transactions made by cheque (bank) must be recorded in the cash book and it should be noted that all transactions made on credit should not be recorded in this book as there do not meet the requirement. It serves as a subsidiary ledger to the general ledger, specifically focusing on cash-related activities. The primary purpose of a cash book is to maintain an accurate and organized record of all cash inflows and outflows, making it an essential tool for financial control and reporting.

TYPES OF CASHBOOK

1. Single column cashbook
2. Double column cashbook
3. Three column cashbook
4. Petty cash book

DOUBLE COLUMN CASHBOOK

In this type of cashbook, two separate accounts cash and bank are combined together for convenience purposes.

Date	Particulars	F	Cash (₦)	Bank (₦)	Date	Particulars	F	Cash (₦)	Bank (₦)
1/1/2023	Capital	-	xx	xx					

THREE COLUMN CASHBOOK

The three cashbook represents three accounts: cash, bank and discounts combined all into one account. It follows the same principle as the two column cashbook with the exception of the discount column which can be divided into discount allowed and discount received been introduced.

Date	Particulars	F	Discount allowed	Cash (₦)	Bank (₦)	Date	Particulars	F	Discount received	Cash (₦)	Bank (₦)
1/1/2023	Capital	-		xx	xx						

ILLUSTRATIONS

1. Write up a two column cashbook from the following details and balance off as at the end of the month of September 2023:

1/9/23: Started business with capital in cash ₦3,000

2/9/23: Paid rent by cash ₦70
3/9/23: Received loan from Pablo ₦500 by cheque

5/9/23: We paid Olu by cheque ₦165

6/9/23: We paid general expenses in cash ₦300

9/9/23: Withdrew ₦1,000 from cash till and paid it into the bank account

10/9/23: Cash sales paid directly into the bank ₦3,000

12/9/23: Banked cash ₦900

14/9/23: Cash purchased ₦500

16/9/23: Bought goods by cheque ₦130

19/9/23: Commission received by cheque ₦501

21/9/23: Bought motor van by cheque ₦60

22/9/23: Cash drawings by the proprietor ₦21

24/9/23: We paid Biodun for goods bought ₦250,

₦150 in cash and ₦100 by cheque

26/9/23: Wages paid in cash ₦35

27/9/23: Bought stationary by cash ₦75

28/9/23: Withdrew ₦105 from bank for private use

30/9/23: Rent received by cheque ₦45

31/9/23: Cash sales ₦1,000

2. Write up a three column cash book from the following details for the month of January 2023:
   1/1/23: Started business with ₦5,000 in the bank

   2/1/23: Received a cash loan of ₦600 from Soji

   3/1/23: Bought motor car paying by cheque ₦70

4/1/23: Paid rent in cash ₦70

7/1/23: Paid wages with cheque ₦270

8/1/23: Cash withdrawn from the bank ₦300

9/1/23: Bought goods for cash ₦170

12/1/23: Cash drawings ₦150

15/1/23: We settled the following accounts by cheque less 5% discount:

Sayo ₦300; Ajayi ₦280; Biodun ₦600

17/1/23: Cash purchases ₦180

19/1/23: The following paid us their account with cheque in each case deducting a 5% discount Olu ₦250 and Ismail ₦160

PETTY CASHBOOK

A petty cashbook, also known as a petty cash ledger or petty cash register, is a financial record used by businesses to track small, day-to-day expenditures and manage a limited amount of cash kept on hand for miscellaneous and minor expenses. It serves as a subsidiary ledger to the main accounting system, helping to maintain transparency and accountability for small cash transactions that do not warrant the use of regular company funds or checks.

The conventional system for recording this small cash disbursement is called the Impress system. In this system, a specific sum is given to the petty cashier at the start of the accounting period. This specific sum is called float.

ADVANTAGES OF PETTY CASHBOOK

1. The risk of fraud will be eliminated
2. The burden of the main cashier will be reduced

ILLUSTRATION

Absad Enterprises uses an analysis petty cashbook with columns for Travelling, Postages, Stationary, Motor expenses, Cleaning, Ledger accounts. The petty cash system is based on an impress of ₦1,000 which will be replenished at the end of the month.

The following information was extracted from the books for the month of January 2023.

January		₦
1st	Petrol	40
3rd	Postage stamps	15
4th	One ream of typing paper	30
6th	Segun- Settlement	150
7th	Office cleaning materials	20
8th	Travelling	40
10th	Refund of a clerks bus fare	20
14th	Car polish	30
16th	Petrol and oil	70
18th	Registered mail	20\
20th	Office carpet shampoo	10
21st	Petrol	70
25th	Petrol	70

27th	Brown-settlement of account	250
28th	Smith –settlement of account	60
29th	Carbon paper	40

Required:

1. Enter the above transactions into a suitable ruled petty cash book
2. Repletion of the impress.

THE JOURNAL

The journal is a book of original entries or prime entries which record transaction in chronological order (i.e the day to day recording of transactions arranged according to when something happens). Journals can also be referred to as a daily record into which transactions are entered and classified as Dr and Cr before there are posted to the ledgers. The journals has columns for date, particulars, folio, debit and credit. The entries are recorded and explained to give the nature of the transactions. This is referred to as narration.

ADVANTAGES OF JOURNAL

1. Its main purpose is to provide a convenient record of transactions in chronological order
2. Journal reduces the risk of omission of transactions
3. The explanations of the entries are made known by the journal

ILLUSTRATION

Enter the following transactions into their individual ledger:

1/9/23: Started business with capital in cash ₦3,000

2/9/23: Paid rent by cash ₦70
3/9/23: Received loan from Pablo ₦500 by cheque

5/9/23: We paid Olu by cheque ₦165

6/9/23: We paid general expenses in cash ₦300

9/9/23: Withdrew ₦1,000 from cash till and paid it into the bank account

10/9/23: Cash sales paid directly into the bank ₦3,000

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26/9/23: Wages paid in cash ₦35

27/9/23: Bought stationary by cash ₦75

28/9/23: Withdrew ₦105 from bank for private use

30/9/23: Rent received by cheque ₦45

31/9/23: Cash sales ₦1,000

BANK RECONCILIATION STATEMENT

A business enterprise will record money paid into the bank and the sums drawn from the bank with cheques in the cash book. On the other hand the bank will record all the transactions in their own books. The book which the bank prepares showing the transactions between it and the customer is known as "**Bank statement".** When there is a difference between the balances then there is need for reconciliation. Bank reconciliation statement can be defined as a statement that is prepared to reconcile the disagreement of the cash book and that of the bank statement. The reconciliation is needed in order to check the accuracy of the postings in the cash book by reconciling the balance of the cash book with that of the bank statement.

THE NEED AND IMPORTANCE OF BANK RECONCILIATION

The following are the factors which make bank reconciliation important:

1. The errors that might have taken place in the cash book in connection with bank transactions can be easily found
2. Regular preparation of bank reconciliation statement prevents frauds.
3. It indirectly imposes moral check on the accounting staff.
4. By the preparation of bank reconciliation statement, uncredited cheque can be detected and steps can be taken for their collection.
5. It discloses any unauthorized cheque issued and cashed.
6. It reveals any lodgments not credited by the bank either by omission or commission.